Central banks believe that by adjusting interest rates, they can influence borrowing costs, spending patterns, and overall economic activity. When inflation rises, central banks may raise interest rates to make borrowing more expensive thereby discouraging excessive spending and slowing down economic growth.
Thus Assertion and Reason both are true and reason explains the assertion.

43. Consider the following statements :
Statement-I : Carbon markets are likely to be one of the most widespread tools in the fight against climate change.
Statement II : Carbon markets transfer resources from the private sector to the State.
Which one of the following is correct in respect of the above statements :
(a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I.
(b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement-I.
(c) Statement-I is correct but Statement-II is incorrect.
(d) Statement-I is incorrect but Statement-II is correct.

Ans. (a) Carbon markets, are likely to be one of the most widespread tools in the fight against Climate Change. Carbon markets, also known as emission trading systems or Cap and trade systems are mechanisms that put a price on carbon emissions. Hence statemet-1 is correct.
Carbon markets are mechanism designed to reduce greenhouse gas emissions by putting a price on carbon. They create a market for buying and selling carbon credits which represent the right to emit a certain amount of greenhouse gases. In carbon markets Companies or entities that emit fewer greenhouse gases than their allotted limit can sell their excess credits to those who exceed their limit. Carbon markets involve financial transactions and can transfer resourses from private sector to the States.
Hence Statement-II is also correct and explains Statement-I.

44. Which one of the following activities of the Reserve Bank of India is considered to be part of 'sterilization'?
(a) Conducting 'Open Market Operations'
(b) Oversight of settlement and payment systems
(c) Debt and cash management for the Central and State Governments
(d) Regulating the functions of Non-banking Financial Institutions

Ans. (a) : Sterlization refers to actions taken by a central bank to offset the impact of its foreign exchange operations on the domestic money supply.
The RBI carries out sterlisation operations such as open Market Operations to control the total amount of money supply in the economy. As part of OMO'S RBI can perform two actions–
- Buy G-secs to inject money during slowdown.
- Sell G-secs to suck out excess during inflation.

45. Consider the following markets :
1. Government Bond Market
2. Call Money Market
3. Treasury Bill Market
4. Stock Market
How many of the above are included in capital markets?
(a) Only one (b) Only two (c) All three (d) All four

Ans. (b) : Capital Markets are Financial Markets where long term securities such as stocks and bonds are traded. They provided platform for raising capital for business and governments.
Government bonds are longterm debt securities issued by governments to finance their activities. Call money market is a short term market where funds ar borrowed and lend for very short durations, usually overnight treasury bills are short term debt instruments issued by the governments to finance their short term cash flow requirements.
The stock market, is where shares or stocks of publicly listed companies are brought and sold. It is part of capital market. Thus statements 1 & 4 are correct while statements 2 & 3 are incorrect.

46. Which one of the following best describes the concept of 'Small Farmer Large Field?
(a) Resettlement of a large number of people, uprooted from their countries due to war, by giving them a large cultivable land which they cultivate collectively and share the produce.
(b) Many marginal farmers in an area organize themselves into groups and synchronize and harmonize selected agricultural operations
(c) Many marginal farmers in an area together make a contract with a corporate body and surrender their land to the corporate body for a fixed term for which the corporate body makes a payment of agreed amount to the farmers
(d) A company extends loans, technical knowledge and material inputs to a number of small farmers in an area so that they produce the agricultural commodity required by the company for its manufacturing process and commercial production.

Ans. (b) : The concept of "Small Farmer Large Field" refers to the idea where many marginal farmers in a particular area come together and organize themselves into groups. In this approach, instead of individually working on their small plots of land, these farmers pool their resources, knowledge and efforts to cultivate larger fields collectively. By doing so they can achieve economics of scale improve efficiency and enhance productivity.
Thus state option (b) is the correctly answer.

47. Consider the following statements :
1. The Government of India provides Minimum Support Price for niger (Guizotia abyssinica) seeds.
2. Niger is cultivated as a Kharif crop.
3. Some tribal people in India use niger seed oil for cooking.
How many of the above statements are correct?
(a) Only one (b) Only two (c) All three (d) None

Ans. (c) : The Government of India provides Minimum Support Price for 22 crops. It also includes niger seeds.
Niger, a minor oilseed crop, is primarily cultivated in rainfed areas as Kharif crop.
The tribial communities incorporate Niger seed oil into their cooking practices and utilize the remaining press cake remaining after oil extraction as livestock feed.
Thus all the 3 statements are correct.

48. Consider the investments in the following assets :
1. Brand recognition 2. Inventory
3. Intellectual property 4. Mailing list of clients
How many of the above are considered intangible investments?
(a) Only one (b) Only two (c) All three (d) All four

Ans. (c) : Brand equity is classified as an intangible asset since its worth does not derive from a physical entity and is primarily influenced by how consumers perceive the brand. Inventory refers to the goods or products that a company holds for sale. It represents the tangible assets, as inventory consists of physical items that can be seen, touched and measured.
Intellectual property (IP) included intangible assets. Such as patents, trademarks, copyrights, and trade secrets.
The mailing list of client is among the intangible assets of company encompassing a compilation of past customers.
Thus statements 1, 3 and 4 are correct.

49. Consider the following :
1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts
For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population area and income distance?
(a) Only one (b) Only two (c) Only three (d) All five

Ans. (c) : For horizontal devolution the 15th Finance Commission used the following Parameters–

Parameters	**15th Finance Commission**
Population (2011)	15%
Area	15%
Forests Ecology	10%
Income distance	45%
Tax & Fiscal Efforts	2.5%
Demographic performance	12.5%

Thus among the given options only 3 criteria were used.

50. Consider the following infrastructure sectors :
1. Affordable housing 2. Mass rapid transport
3. Health care 4. Renewable energy
On how many of the above does UNOPS Sustainable Investments in Infrastructure and Innovation (S3i) initiative focus for its investments?
(a) Only one (b) Only two (c) All three (d) All four

Ans. (c) : The sustainable investments in infrastructure and innovation initiative was established by the United Nations Office for Project Services to fill the SPG Financing gap in developing countries. It seeks to channelise public and private Financing into large scale infrastructure projects in the following sectors.
1. Renewable Energy
2. Affordable Housing
3. Health infrastructure

51. With reference to Home Guards, consider the following statements :
1. Home Guards are raised under the Home Guards Act and Rules of the Central Government.
2. The rule of the Home Guards is to serve as an auxiliary force to internal security.
3. To government infiltration on the international border/coastal areas, the Border Wing Home Guards Battalions have been raised in, some States.
How many of the above statements are correct?
(a) Only one (b) Only two (c) All three (d) None

Ans. (b) : Home Guards are raised under the Home Guards Act and Rules of states/Union Territories. Hence statement-I is incorrect. The Role of home guards is to serve as an auxiliary force to the police in maintenance of internal security situations, help the community in any kind of emergency such as an air raid, fire, cyclone earthquake etc. Hence statement-2 is correct some states (Rajasthan) have raised battalions with the name of border wing home guard to prevent infiltration on the international border.

52. With reference to India, consider the following pairs :

	Action		**The Act under which it is covered**
1.	Unauthorized wearing of police or military uniforms	:	The Official Secrets Act, 1923
2.	Knowingly misleading or otherwise interfering with a police officer or military officer when engaged in their duties	:	The Indian Evidence Act, 1872
3.	Celebratory gunfire which can endanger the personal safety of others	:	The Arms (Amendment) Act, 2019

How many of the above pairs are correctly matched?
(a) Only one (b) Only two (c) All three (d) None

Ans. (b) : The official Secrets Act, 1923 prohibits person from using or wearing, without lawful authority, any naval, military, air force, police or other official uniform, or any uniform so nearly resembling the same as to be calculated to deceive, or falsely represents himself to be a person who is or has been entitled to use or wear any such uniform. Hence Pair 1 is correctly matched.
Knowingly misleading or otherwise interfering with a police officer or military officer when engaged in their duties is under The Official Secrets Act, 1923. Hence Pair 2 is incorrectly matched.
The Arms Act Amendment of 2019 adds new offences such as forcefully taking a firearm from police or armed forces and using firearms in a celebratory gunfire which endangers human life or personal safety of others. Hence Pair 3 is correctly matched.

53. Consider the following pairs :

	Regions often mentioned in news		**Reason for being in news**
1.	North Kivu and Ituri	:	War between Armenia and Azerbaijan
2.	Nagarno-Karabakh	:	Insurgency in Mozambique
3.	Kherson and Zaporizhzhia	:	Dispute between Israel and Lebanon

How many of the above pairs are correctly matched?
(a) Only one (b) Only two (c) All three (d) None

Ans. (d) :
North Kivu and Ituri – Conflict in Democratic Republic of congo
Nagorno-Karabakh – War between Armenia and Azerbaijan
Kherson and Zaporizhzhia – Allocks sites in Ukraine
Hence none of the above pairs are correctly matched.